



**UNITED STATES
NUCLEAR REGULATORY COMMISSION**
REGION III
2056 WESTINGS AVENUE, SUITE 400
NAPERVILLE, IL 60563-2657

December 23, 2025

Michael Mlynarek
Site Vice President,
Palisades Energy, LLC
Palisades Nuclear Plant
27780 Blue Star Memorial Hwy
Covert, MI 49043-9530

SUBJECT: PALISADES NUCLEAR PLANT – RESTART INSPECTION REPORT
05000255/2025005

Dear Mr. Michael Mlynarek:

On October 31, 2025, the U.S. Nuclear Regulatory Commission (NRC) completed an inspection at the Palisades Nuclear Plant. The enclosed inspection report documents the inspection results, which the inspectors discussed on December 10, 2025, with yourself and other members of your staff.

Due to the temporary cessation of government operations, which commenced on October 01, 2025, the NRC began operating under its Office of Management and Budget-approved plan for operations during a lapse in appropriations. Consistent with that plan, the NRC operated at reduced staffing levels throughout the duration of the shutdown. However, the NRC continued to perform critical health and safety functions and make progress on other high-priority activities associated with the ADVANCE Act and Executive Order 14300. On November 13, 2025, following the passage of a continuing resolution, the NRC resumed normal operations. However, due to the 43-day lapse in normal operations, the Office of Nuclear Reactor Regulation granted the Regional Offices an extension on the issuance of the calendar year 2025 inspection reports that should have been issued by November 13, 2025, to December 31, 2025. The NRC resumed the routine cycle of issuing inspection reports on November 13, 2025.

One finding of very low safety significance (Green) is documented in this report. This finding involved a violation of NRC requirements and was determined to be Severity Level IV. We are treating this violation as a non-cited violation (NCV) consistent with Section 2.3.2 of the Enforcement Policy.

A licensee-identified violation which was determined to be of very low safety significance is documented in this report. We are treating this violation as an NCV consistent with Section 2.3.2 of the Enforcement Policy.

If you contest the violations or the significance or severity of the violations documented in this inspection report, you should provide a response within 30 days of the date of this inspection report, with the basis for your denial, to the U.S. Nuclear Regulatory Commission, ATTN: Document Control Desk, Washington, DC 20555-0001; with copies to the Regional Administrator, Region III; the Director, Office of Enforcement; and the NRC Resident Inspector at Palisades Nuclear Plant.

On June 13, 2022, Palisades ceased permanent power operations and subsequently removed all fuel from the reactor, as detailed in the letter from Entergy to the NRC, "Certifications of Permanent Cessation of Power Operations and Permanent Removal of Fuel from the Reactor Vessel," (ADAMS Accession No. [ML22164A067](#)). On September 28, 2023, Holtec Decommissioning International, LLC (Holtec) submitted a letter to the NRC requesting exemptions from certain portions of the requirements of Title 10 of the *Code of Federal Regulations* (10 CFR) 50.82(a)(2) to pursue the potential reauthorization of power operations at Palisades (ADAMS Accession No. [ML23271A140](#)).

On July 24, 2025, the NRC approved an exemption from the requirements of 10 CFR 50.82(a)(2), as detailed in the letter, "Palisades Nuclear Plant – Exemption from the Requirements of 10 CFR 50.82(a)(2) Concerning the Prohibition to Operate and Emplace Fuel in the Reactor Vessel," (ADAMS Accession No. [ML25163A182](#)) and a set of licensing actions supporting reauthorization of Palisades Nuclear Plant. On August 25, 2025, Palisades notified the NRC that they rescinded their 10 CFR 50.82(a)(1) certification, which removed the prohibition on operation and emplacement of fuel in the reactor (ADAMS Accession No. [ML25237A317](#)). Palisades also implemented the set of licensing actions to support reimplementation of their operational licensing basis.

On August 25, 2025, the NRC transitioned oversight of Palisades to the Reactor Oversight Process (ROP).

This letter, its enclosure, and your response (if any) will be made available for public inspection and copying at <http://www.nrc.gov/reading-rm/adams.html> and at the NRC Public Document Room in accordance with Title 10 of the *Code of Federal Regulations* 2.390, "Public Inspections, Exemptions, Requests for Withholding."

Sincerely,



Signed by Nguyen, April
on 12/23/25

April M. Nguyen, Lead
Palisades Restart Team
Division of Operating Reactor Safety

Docket Nos. 05000255
License No. DPR-20

Enclosure:
As stated

cc w/ encl: Distribution via LISTSERV®

Letter to Michael Mlynarek from April Nguyen dated December 23, 2025.

SUBJECT: PALISADES NUCLEAR PLANT – RESTART INSPECTION REPORT
05000255/2025005

DISTRIBUTION:

Rodney Clagg
RidsNrrPMPalisades Resource
RidsNrrDorlLpl3
RidsNrrDrolrib Resource
Jack Giessner
Mohammed Shuaibi
Diana Betancourt-Roldan
John Pelchat
Deborah Piskura
Jared Heck
Jennifer Dalzell
R3-DORS

ADAMS Accession Number: ML25357A093

☒ SUNSI Review		☒ Non-Sensitive ☐ Sensitive		☒ Publicly Available ☐ Non-Publicly Available	
OFFICE	RIII				
NAME	JWinslow:anm	ANguyen			
DATE	12/23/2025	12/23/2025			

OFFICIAL RECORD COPY

**U.S. NUCLEAR REGULATORY COMMISSION
Inspection Report**

Docket Number: 05000255

License Number: DPR-20

Report Number: 05000255/2025005

Enterprise Identifier: I-2025-005-0043

Licensee: Palisades Energy, LLC

Facility: Palisades Nuclear Plant

Location: Covert, MI

Inspection Dates: September 01, 2025, to October 31, 2025

Inspectors: M. Gangewere, Senior Reactor Inspector
D. Hoang, Civil Engineer
J. Mancuso, Senior Resident Inspector
E. Miller, Senior Reactor Inspector, Region I
T. Okamoto, Resident Inspector
J. Robb, Operations Engineer
A. Shaikh, Senior Reactor Inspector
C. St. Peters, Senior Project Engineer
J. Winslow, Senior Project Engineer

Approved By: April M. Nguyen, Lead
Palisades Restart Team
Division of Operating Reactor Safety

Enclosure

SUMMARY

The U.S. Nuclear Regulatory Commission (NRC) performed inspection activities of the licensee's performance associated with the return to an operational status. As available, the NRC monitored the licensee's performance by conducting an integrated inspection at Palisades Nuclear Plant, in accordance with the Reactor Oversight Process. The Reactor Oversight Process is the NRC's program for overseeing the safe operation of commercial nuclear power reactors. Refer to <https://www.nrc.gov/reactors/operating/oversight.html> for more information. A licensee-identified non-cited violation is documented in report section: 71124.08.

List of Findings and Violations

License Amendment Required for Change of Critical Heat Flux Correlations Used in the Main Steam Line Break Analysis to Predict the Minimum Departure of Nucleate Boiling Ratio			
Cornerstone	Significance/Severity	Cross-Cutting Aspect	Report Section
Barrier Integrity	Green Severity Level IV NCV 05000255/2025005-01 Open/Closed	None (NPP)	71111.21M
The inspectors identified a very low safety significant (Green) and associated severity level IV non-cited violation of Title 10 of the <i>Code of Federal Regulations</i> (10 CFR) 50.59 because the licensee failed to obtain NRC approval prior to changing the critical heat flux correlations applied in their main steam line break analysis to predict the minimum departure from nucleate boiling ratio. Subsequently, the licensee submitted a license amendment request which was approved by the NRC as license amendment number 279 (ADAMS Accession No. ML25156A045).			

Additional Tracking Items

Type	Issue Number	Title	Report Section	Status
URI	05000255/2022010-01	Inadequate Evaluation for Revised Main Steam Line Break (MSLB) Analysis	71111.21M	Closed
URI	05000255/2024004-01	Use of Decommissioning Trust Fund During Restart Initiative	71801-Cat9	Closed

PLANT STATUS

On August 25, 2025, Palisades notified the NRC that they rescinded their 10 CFR 50.82(a)(1) certification, which removed the prohibition on operation and emplacement of fuel in the reactor. Palisades also implemented the set of licensing actions to support reimplementation of their operational licensing basis. On August 25, 2025, the NRC transitioned oversight of Palisades to the Reactor Oversight Process (ROP).

The NRC is conducting inspections to evaluate and assess the licensee's activities for restoration to an operating status. The resident inspectors, as well as supplemental inspectors, continue to provide daily oversight of the restart activities occurring at the site.

The unit ended the inspection period in a defueled status.

INSPECTION SCOPES

Inspections were conducted using the appropriate portions of the referenced inspection procedures (IPs) in effect at the beginning of the inspection unless otherwise noted. Currently approved IPs with their attached revision histories are located on the public website at <http://www.nrc.gov/reading-rm/doc-collections/insp-manual/inspection-procedure/index.html>. As available, samples were declared complete when the IP requirements most appropriate to the inspection activity were met consistent with Inspection Manual Chapter (IMC) 2515, "Light-Water Reactor Inspection Program - Operations Phase." The inspectors reviewed selected procedures and records, observed activities, and interviewed personnel to assess licensee performance and compliance with Commission rules and regulations, license conditions, site procedures, and standards.

REACTOR SAFETY

71111.05 - Fire Protection

Fire Brigade Drill Performance Sample (IP Section 03.02) (1 Sample)

- (1) The inspectors evaluated the onsite fire brigade training and performance during live fire training on September 19, 2025.

71111.08P - Inservice Inspection Activities (PWR)

From September 1 through October 31, 2025, the inspectors observed and verified the licensee's nondestructive examination (NDE) and repair/replacement activities of the reactor vessel closure head, Alloy 600 weld mitigation activities, and steam generator tube plugging, stabilization, and sleeving, conducted in accordance with the requirements of the ASME Code Section XI and other guidance documents. The purpose of these inspections was to verify that the reactor coolant system boundary, reactor vessel closure head, steam generators, and risk-significant piping system boundaries are appropriately monitored for degradation. The inspectors also verified that the examination results were thoroughly reviewed and appropriately evaluated, and that required corrective actions to address identified indications and defects are being appropriately implemented. During this quarter, the licensee conducted repair/replacement activities for the reactor vessel closure head, steam generator tubes, and Alloy 600 welds in the primary coolant system and in

other areas. Further NRC inspections will monitor repair/replacement activities as they are conducted.

The inspectors verified that the following NDE and repair/replacement activities were conducted appropriately per the ASME Code or required standard, and that any potential indications and defects were identified and evaluated at the proper thresholds:

Nondestructive Examination and Welding Activities (IP Section 03.01)

- (1) Ultrasonic Examination of Alloy 600 Mitigation Weld Overlays on Primary Coolant System Piping and Nozzles
- (2) Liquid Penetrant Examination of Alloy 600 Mitigation Weld Overlays on Primary Coolant System Piping and Nozzles
- (3) Welding of Alloy 600 Mitigation Weld Overlays on Primary Coolant System Piping and Nozzles

Vessel Upper Head Penetration Inspection Activities (IP Section 03.02)

- (1) Welding and Nondestructive Examination of Reactor Vessel Closure Head (RVCH) Nozzles
- (2) Roto-Peening of RVCH Nozzles

Steam Generator Tube Inspection Activities (IP Section 03.04)

- (1) steam generators 'A' and 'B' chemical cleaning

71111.11Q - Licensed Operator Regualification Program and Licensed Operator Performance

Licensed Operator Regualification Training/Examinations (IP Section 03.02) (1 Sample)

- (1) The inspectors observed and evaluated Licensed Operator Regualification Training in the facility's simulator on September 24 and 25, 2025.

71111.13 – Maintenance Risk Assessments and Emergent Work Control

Risk Assessment and Management (IP Section 03.01) (1 Sample)

The inspectors evaluated the accuracy and completeness of risk assessments for the following planned work activities and emergent work activities to ensure configuration changes and appropriate work controls were addressed:

- (1) evaluation of risk for irradiated fuel moves in the spent fuel pool with one train of control room HVAC inoperable, using Technical Specifications (TS) LCO 3.0.4(b) on September 12, 2025

71111.20 – Refueling and Other Outage Activities

Refueling/Other Outage Sample (IP Section 03.01)

The inspectors verified that the following outage activities important to safety were appropriately managed:

- (1) P-50D Motor Lift Activities in Containment ('A' Missile Shield Landing & Upending) on October 7, 2025

71111.21M - Comprehensive Engineering Team Inspection

The inspectors evaluated the following 10 CFR 50.59 Evaluations for close out of the unresolved item (URI) tracked by issue number 05000255/2022010-01:

10 CFR 50.59 Evaluations/Screening (IP section 03.03) (2 Samples)

- (1) 50.59 Evaluation 22-0052, "Issue Revised MSLB Analysis," Revision 0
- (2) 50.59 Evaluation 19-0117, "Issue Revised MSLB Analysis," Revision 0

71111.24 – Testing and Maintenance of Equipment Important to Risk

The inspectors evaluated the following testing and maintenance activities to verify system operability and/or functionality:

Post-Maintenance Testing (PMT) (IP Section 03.01) (4 Samples)

- (1) 1-2 Emergency Diesel Generator PMT following major system work window on September 5, 2025
- (2) RT-202 VC-10 SR3.7.11.1 Heat Removal Capability from September 16, 2025, through October 15, 2025
- (3) Steam Generator Chemical Cleaning (SGCC) Water Testing on September 25, 2025
- (4) E-54B CCW HX Hydrostatic Test Following Tube Replacement and Plugging on October 22, 2025

Surveillance Testing (IP Section 03.01) (1 Sample)

- (1) RO-28A and RO-28B, Control Room Envelope Positive Pressure and Heater Output Verification on October 8, 2025

RADIATION SAFETY

71124.04 - Occupational Dose Assessment

Internal Dosimetry (IP Section 03.03) (1 Partial)

The inspectors evaluated the following internal dose assessments:

- (1) (Partial)
The inspectors reviewed an event from October 21, 2025, in which an individual fell into the reactor cavity pool. This review included the records associated with the decontamination efforts, initial whole body count information, and release paperwork for the individual. In-vitro analysis results were still pending at the time of the inspection, so a review of the final dose assessment will be performed during a future inspection.

71124.06 - Radioactive Gaseous and Liquid Effluent Treatment

Walkdowns and Observations (IP Section 03.01) (1 Sample)

The inspectors evaluated the following radioactive effluent systems during walkdowns:

- (1) The inspectors walked down radiological monitoring equipment for the turbine building sump, service water, and gaseous effluent systems.

Sampling and Analysis (IP Section 03.02) (1 Sample)

Inspectors evaluated the following effluent samples, sampling processes:

- (1) The inspectors observed daily and weekly routine effluent sampling activities for the turbine building sump, service water, and gaseous effluent systems. The inspectors also observed sample analysis for the weekly gaseous effluent samples taken.

71124.07 - Radiological Environmental Monitoring Program

Environmental Monitoring Equipment and Sampling (IP Section 03.01) (1 Sample)

- (1) The inspectors observed collection of particulate and iodine samples from various air sampling stations, and water sample collection from lake water inlet, and drinking water. The inspectors also assessed material condition and calibration of air sample station pumps and the meteorological tower.

Radiological Environmental Monitoring Program (IP Section 03.02) (1 Sample)

- (1) The inspectors reviewed third party laboratory results for various sampling activities to ensure the site had recommenced iodine analysis and that detection sensitivities met the requirements in the Offsite Dose Calculation Manual, which had recently been revised in preparation for reactor operation.

71124.08 - Radioactive Solid Waste Processing & Radioactive Material Handling, Storage, & Transportation

Shipping Records (IP Section 03.05) (1 Sample)

The inspectors evaluated the following non-excepted radioactive material shipments through a record review:

- (1) Shipment 2025-RW-017; LSA-II

OTHER BASELINE ACTIVITIES

71152 – Problem Identification and Resolution

System Return to Service

During the inspection period, the inspectors continued reviews of Phases I and II of the licensee's system return to service (SRTS) plans. The SRTS plans document licensee activities to verify that the configuration and condition of systems, structures, and components (SSCs) are consistent with the design and licensing bases to support potential restart. The inspectors reviewed Phases I and II of the SRTS plans, which include areas such as licensing and design-basis functions, system material conditions, reviewing open and deferred work prior to shutdown, and program applicability. The inspectors conducted these reviews using IP 71152, "Problem Identification and Resolution," and IP 71111.21M, "Comprehensive Engineering Team Inspection (CETI)," as applicable.

The inspectors commenced reviews of the SRTS plans for the following systems:

- reactor protective system

The inspectors evaluated the initial SRTS plans for each system to identify if planned licensee activities will verify that the configuration and condition of the SSCs are consistent with the proposed operational design and licensing bases to support restart and verify readiness of the SSCs to support a return to service. The inspectors noted that the SRTS plans are intended to be living documents with a phased approach to SRTS. As the licensee progresses through the SRTS phases, the SRTS plans will undergo additional reviews by NRC inspectors to ensure appropriate SSC restoration and operability/functionality.

Safety Injection Refueling Water Tank Catacomb Inspections

As part of system return to service activities, the licensee performed inspections of the safety injection refueling water tank (SIRWT), piping, and plant structures surrounding the SIRWT. The inspectors performed visual inspections of the components and reviewed the licensee's evaluations.

- (1) The inspectors reviewed and verified previously repaired concrete cracks of the SIRWT catacombs as identified in Licensee Event Report 83-006, "SIRWT Support Structure Discrepancies" (ADAMS Accession No. [ML20071B526](#)) on September 9, 2025.

During an in-field walkdown, the inspectors identified additional crack-like indications. The licensee conducted an evaluation of the structural integrity of the concrete slabs in the catacombs with the crack-like indications and dispositioned the indications as minor concrete surface cracks with no adverse effects to the structural integrity of the SIRWT catacombs. The licensee dispositioned a corrective action to repair the minor concrete surface cracks. The inspectors reviewed the licensee's evaluation and did not identify any findings or violations.

- (2) The inspectors identified crystalline precipitates during initial inspections of the SIRW tank nozzles on September 29, 2025. The licensee conducted chemical analysis on samples taken of the crystalline precipitate. The licensee further evaluated the structural integrity of the SIRW tank piping and support structures in the affected area. The licensee dispositioned the precipitate as concrete leaching due to rainwater intrusion with no adverse effects to the structural integrity of the SIRW tank or supports. The inspectors reviewed the licensee's evaluation and chemical analysis report and did not identify any findings or violations.

71153 - Follow-up of Events and Notices of Enforcement Discretion

Event Follow-up (IP Section 03.01) (1 Sample)

- (1) The inspectors evaluated the licensee's response to higher-than-expected levels of ammonia gas in the turbine building during the steam generator chemical cleaning process on October 15, 2025.

71801-Cat9 - Decommissioning Implementation and Status

The inspectors evaluated the use of the Decommissioning Trust Fund (DTF) during restart for closeout of the Unresolved Item (URI) tracked by issue number 05000255/2024004-01.

INSPECTION RESULTS

License Amendment Required for Change of Critical Heat Flux Correlations Used in the Main Steam Line Break Analysis to Predict the Minimum Departure of Nucleate Boiling Ratio			
Cornerstone	Significance/Severity	Cross-Cutting Aspect	Report Section
Barrier Integrity	Green Severity Level IV NCV 05000255/2025005-01 Open/Closed	None (NPP)	71111.21M
The inspectors identified a very low safety significant (Green) and associated severity level IV non-cited violation of Title 10 of the <i>Code of Federal Regulations</i> (10 CFR) 50.59 because the licensee failed to obtain NRC approval prior to changing the critical heat flux correlations applied in their main steam line break analysis to predict the minimum departure from nucleate boiling ratio. Subsequently, the licensee submitted a license amendment request which was approved by the NRC as license amendment number 279 (ADAMS Accession No. ML25156A045).			

Description:

During the 2022 triennial inspection of evaluations of changes, tests and experiments an unresolved item (URI) was documented in inspection report 2022010 (ADAMS Accession No. [ML22090A254](#)). Since this inspection procedure (IP) 71111.17T, "Evaluations of Changes, Tests and Experiments" has been retired, this URI is closed under active IP 71111.21M, "Comprehensive Engineering Team Inspection," which performs this inspection.

The URI was opened due to the licensee's 50.59 safety evaluation (SE) 19-0117 which evaluated and accepted a revised main steam line break (MSLB) analysis as implemented by engineering change (EC) 83306, "Issue Revised Main Steam Line Break (MSLB) Departure from Nucleate Boiling (DNB) Analysis." The licensee determined this change did not require prior NRC approval based on evaluation of the eight criteria identified in 10 CFR 50.59. The URI documented that SE 19-0117 did not evaluate the change associated with application of the elements within the existing vendor NRC-approved topical report methodology (EMF-2310(P)(A) Revision 1) that had been incorporated into the licensing basis. Specifically, the original MSLB analysis applied one critical heat flux (CHF) correlation (Modified Barnett) to determine the minimum departure from nucleate boiling ratio (MDNBR). EC 83306 altered the elements of this methodology and applied three CHF correlations (Modified Barnett, Biasi, and high thermal performance (HTP)). In SE 19-0117, the licensee failed to recognize the change from one to three CHF correlations was a departure from the method of evaluation described in the updated final safety analysis report (UFSAR) and they were required to submit a license amendment request pursuant to 10 CFR 50.59(c)(2)(viii). As a result of the URI, the licensee performed SE 22-0052 which determined the change to use the corrected Modified Barnett and Biasi Correlation limits was a departure from a method of evaluation and required NRC approval. The licensee submitted license amendment request (LAR) No. 279 on May 24, 2024 (ADAMS Accession No. [ML24145A145](#)). The NRC subsequently approved License Amendment No. 279 (ADAMS Accession No. [ML25156A045](#)) on July 24, 2025. The amendment revised the license to incorporate the Biasi CHF correlation for use with the Palisades MSLB analysis. Specifically, the amendment approved the use of the Framatome Inc. Topical Report EMF-2310, Revision 1, Supplement 2P-A, Revision 0, "SRP Chapter 15 Non-LOCA Methodology for Pressurized Water Reactors," which describes the application of the Biasi CHF correlation to MSLB analysis.

In closing this URI, the inspectors reviewed SE 19-0117 and 22-0052 to evaluate if all concerns addressed in the URI were captured; specifically, if the SE addressed the change from one to three CHF correlations. In SE 22-0052, the licensee determined applying three CHF correlations instead of one was not a departure from a method of evaluation described in the UFSAR. However, the licensee determined the change to use the corrected Modified Barnett and Biasi Correlation limit was a departure from a method of evaluation described in the UFSAR. The inspectors noted License Amendment No. 279 approved the use of the Biasi Correlation limit applied in the MSLB analysis. The inspectors questioned why the corrected Modified Barnett and the HTP correlations were not included in the LAR. The licensee explained since SE 22-0052 was approved in 2022, Framatome later decided to proceed with using only the HTP and Biasi correlations for the MSLB analysis. This included retiring the use of the Modified Barnett in place of the Biasi correlation for the MSLB analysis. Additionally, the HTP correlation had already been a part of Palisades' licensing basis. These correlations were explained in this manner in Palisades' docketed pre-submittal public meeting slides (ADAMS Accession No. [ML24130A145](#)). Therefore, the inspectors had no

further questions in close out of this URI.

Since the licensee failed to have a written evaluation that provided the bases for the determination that the change in CHF correlations would not require a license amendment (SE 19-0117) and since the new written evaluation (SE 22-0052) determined a license amendment was required and was subsequently approved by the NRC, the inspectors closed this URI to a finding of very low safety significance (Green) and associated severity level IV non-cited violation of 10 CFR 50.59.

Corrective Actions: The licensee entered this into their corrective action program, performed a new 50.59 evaluation, SE 22-0052, and submitted a LAR which was approved by the NRC as License Amendment No. 279.

Corrective Action References: CR-PLP-2022-0044; CR-PLP-2022-00648.

Performance Assessment:

Performance Deficiency: The failure to document a written evaluation which provides the bases for the determination that the change in CHF correlations applied to the MSLB analysis would not require a license amendment was a performance deficiency and contrary to 10 CFR 50.59.

Screening: The inspectors determined the performance deficiency was more-than-minor because it was associated with the Design Control attribute of the Barrier Integrity cornerstone and adversely affected the cornerstone objective to provide reasonable assurance that physical design barriers protect the public from radionuclide releases caused by accidents or events. Specifically, the change in the application of CHF correlations, e.g., the Biasi correlation limit, to predict the MDNBR during MSLB events required NRC prior approval since it resulted in a departure from a method of evaluation described in the UFSAR used to establish the current MSLB safety analysis.

Significance: The inspectors assessed the significance of the finding using IMC 0609 Appendix A, "The Significance Determination Process (SDP) for Findings At-Power." The inspectors determined the finding was of very low safety significance (Green) because the finding did not challenge the fuel cladding integrity. Therefore, the inspectors answered "No" to all Exhibit 3, "Barrier Integrity Screening Questions," Section A, "Fuel Cladding Integrity" screening questions. Additionally, License Amendment No. 279 was approved by the NRC on July 24, 2025.

Cross-Cutting Aspect: Not Present Performance. No cross-cutting aspect was assigned to this finding because the inspectors determined the finding did not reflect present licensee performance. The original 50.59 evaluation, SE 19-0117, that opened the URI was performed in 2019 and therefore, does not represent present licensee performance.

Enforcement:

The ROP's significance determination process does not specifically consider the regulatory process impact in its assessment of licensee performance. Therefore, it is necessary to address this violation which impedes the NRC's ability to regulate using traditional enforcement to adequately deter non-compliance.

Severity: In accordance with NRC Enforcement Manual, Section 2.1.3, "Enforcement of 10 CFR 50.59 and Related FSAR Violations," Section D.5.a, the inspectors determined this violation is categorized as severity level IV because the change required prior Commission review and approval, the licensee failed to obtain Commission approval, and the consequence of the change evaluated by the significance determination process is of very low safety significance (i.e., Green).

Violation: Title 10 CFR 50.59(d)(1) states, in part, the licensee shall maintain records of changes in the facility, of changes in procedures, and of tests and experiments made pursuant to 10 CFR 50.59(c). These records must include a written evaluation which provides the bases for the determination that the change, test, or experiment does not require a license amendment pursuant to paragraph (c)(2) of this section.

Title 10 CFR 50.59(c)(1) states, in part, that a licensee may make changes in the facility or procedures as described in the final safety analysis report (as updated) without obtaining a license amendment pursuant to Section 50.90 only if: (i) An amendment to the technical specifications incorporated in the license is not required, and (ii) the change, test, or experiment does not meet any of the criteria in paragraph (c)(2) of this section.

Title 10 CFR 50.59(c)(2)(viii) states, in part, that a licensee shall obtain a license amendment pursuant to 10 CFR 50.90 prior to implementing a proposed change, test, or experiment if the change, test, or experiment would result in a departure from a method of evaluation described in the FSAR (as updated) used in establishing the design bases or in the safety analyses.

Technical specification (TS), revision 20, section 5.6.5, "Core Operating Limits Report (COLR)" states:

b. the analytical methods used to determine the core operating limits shall be those approved by the NRC, specifically those described in the latest approved revision of the following documents:

6. EMF-2310 (P)(A), Revision 0, Framatome ANP, Inc., May 2001, "SRP Chapter 15 Non-LOCA Methodology for Pressurized Water Reactors." (LCOs 3.1.6, 3.2.1, 3.2.2, & 3.2.4)

Updated final safety analysis report (UFSAR), revision 35, section 14.14, "Steam Line Rupture Incident," references include:

2. EMF-2310(P)(A), Revision 1, "SRP Chapter 15 Non-LOCA Methodology for Pressurized Water Reactors," Framatome ANP, May 2004.

Contrary to the above, from September 6, 2019, to May 20, 2022, the licensee failed to maintain a record of changes in the facility including a written evaluation that provided the bases for the determination that the change, test, or experiment did not require a license amendment. Specifically, the licensee failed to document a written evaluation that provided a bases for the determination that the change in critical heat flux correlations to predict the minimum departure from nucleate boiling ratio in the main steam line break analysis was not a departure from a method of evaluation described in the FSAR (as updated) and would not require a license amendment. Subsequently, the licensee submitted License

Amendment No. 279 which was approved by the NRC on July 24, 2025 (ADAMS Accession No. [ML25156A045](#)).

Enforcement Action: This violation is being treated as a non-cited violation, consistent with Section 2.3.2 of the Enforcement Policy.

The disposition of this finding and associated violation closes URI: 05000255/2022010-01.

Licensee-Identified Non-Cited Violation	71124.08
This violation of very low safety significance was identified by the licensee and has been entered into the licensee corrective action program and is being treated as a non-cited violation, consistent with Section 2.3.2 of the Enforcement Policy.	
Violation: Title 10 of the <i>Code of Federal Regulations</i> (10 CFR) Part 71.5 requires, in part, that each licensee who transports licensed material outside the site of usage comply with the applicable requirements of the Department of Transportation (DOT) regulations in 49 CFR Parts 171 through 180. 49 CFR 173.441 requires, in part, that exclusive use shipment radiation levels not exceed 10 mrem/h at any point two meters from the outer lateral surfaces of the vehicle (excluding the top and underside of the vehicle). Contrary to the above, on September 23, 2025, the licensee failed to comply with the applicable requirements of the DOT regulations in 49 CFR Parts 171 through 180 as required by 10 CFR 71.5. Specifically, the licensee failed to comply with 49 CFR 173.441 when the licensee transported radioactive waste off-site via exclusive use with dose rates of up to 16.2 mrem/hr at two meters from the lateral surfaces (sides) of the vehicle. Significance/Severity: Green. The performance deficiency was assessed using Inspection Manual Chapter (IMC) 0609, Appendix D as a finding in transportation or Part 61. An external radiation limit was exceeded in a location accessible by the public. However, the IMC allows for other considerations to be taken into account when determining if an issue reaches the White threshold. In this instance, the shipment was an exclusive use shipment and surveys conducted upon return of the transport vehicle that were conducted with a survey instrument that averages dose rates over a larger cross-sectional area indicated maximum dose rates of 10 mrem/hr at two meters from the lateral surfaces of the vehicle. With these considerations taken into account, this issue was determined to be of very low safety significance (Green). Corrective Action References: AR 25012715	

Very Low Safety Significance Issue Resolution Process: Use of Decommissioning Trust Fund During Restart Initiative	71801-Cat9
This issue is a licensing basis question and inspection effort is being discontinued in accordance with the Very Low Safety Significance Issue Resolution (VLSSIR) process. No further evaluation is required.	
Description: In the fourth quarter of 2024, the inspectors performed an inspection of the Decommissioning Trust Fund (DTF) use. In that inspection, the inspectors noted that in a letter to the NRC dated September 28, 2023 (ML23271A140), the licensee submitted a request for an exemption from certain requirements in 10 CFR 50.82 to allow for restarting the plant after entering decommissioning. Further, as the pace of in-plant restart activities picked up, the licensee later verbally informed the NRC staff that it had decided to stop incurring expenses against the DTF as of June 1, 2024. The inspectors identified DTF expenditures that occurred prior to that later date associated with maintaining the site, such as payroll, site security, janitorial services, and utility bills, that would generally be considered	

legitimate uses of the DTF. The inspectors questioned the legitimacy of continuing to rely on DTF funds for these activities for a plant that was focusing on restart, and at what point should that transition away from the DTF use occur. The inspectors opened Unresolved Item (URI) 05000255/2024004-01 to address this question. A detailed discussion on what was identified during the inspection and the URI can be found in Palisades Nuclear Plant Inspection Report 05000255/2024004 ([ML25041A225](#)).

Through consultation with the Division of Decommissioning, Uranium Recovery, and Waste Programs (DUWP), and the Financial Assurance Branch (FAB) in the Division of Rulemaking, Environmental, and Financial Support (REFS), it was determined that considerable staff effort would be required to resolve this issue. For example, under these specific circumstances, it may be necessary to interpret terms such as “legitimate decommissioning activity.” In addition, the licensee has since ceased incurring expenses against the DTF, and according to the most recent DTF report, it continues to maintain sufficient funding for decommissioning activities should restart not take place.

This issue is an unresolved question that has ambiguity in the licensing basis, design basis, or applicability of regulatory requirements which is determined to be no greater than Severity Level IV, if resolved. Inspection and evaluation effort is being discontinued using the Very Low Safety Significance Issue Resolution (VLSSIR) process. No further staff evaluation is required.

Licensing Basis: 10 CFR 50.82(a)(8)(i) states, in part, that decommissioning trust funds may be used by licensees if the withdrawals are for expenses for legitimate decommissioning activities consistent with the definition of decommissioning in 10 CFR 50.2.

10 CFR 50.2 defines decommissioning as removing a facility or site safely from service and reducing residual radioactivity to a level that permits—

- (1) Release of the property for unrestricted use and termination of the license; or
- (2) Release of the property under restricted conditions and termination of the license.

Significance: The inspectors determined that the issue of concern would not have the potential to be more than Severity Level IV if processed via the Enforcement Policy as a violation. Specifically, the Enforcement Policy examples (section 6.3), indicate that to be more than Severity Level IV, there would need to be a significant failure to meet decommissioning as required by regulation or license condition or a failure to meet required schedules without adequate justification. There was no failure to meet decommissioning or any required schedule.

Technical Assistance Request: The inspectors discussed use of a Technical Assistance Request (TAR) with the DUWP, but it was determined that a TAR was not warranted as this issue would not screen as more the SL IV.

Corrective Action Reference: No corrective actions are required by the licensee.

This VLSSIR closes URI 05000255/2024004-01, Use of Decommissioning Trust Fund During Restart Initiative.

EXIT MEETINGS AND DEBRIEFS

The inspectors verified no proprietary information was retained or documented in this report.

- On December 10, 2025, the inspectors presented the inspection results to M. Mlynarek, Site Vice President, and other members of the licensee staff.

DOCUMENTS REVIEWED

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
71111.08P	NDE Reports	HLS 360-00-UT-001	Ultrasonic Examination on HL Surge Line Elbow to SE to Nozzle Overlay	06/18/2025
		HLS-350-00-PT-001	Liquid Penetrant Examination on HL Surge Line Nozzle Overlay	06/18/2025
		SI2B 360-00-UT-001	Ultrasonic Examination of CL Safety Injection Valve to SE to Nozzle Weld	03/27/2025
		VLNM-240-00-PT-001	Liquid Penetrant Examination on RVCH Vent Line Nozzle	09/15/2025
	Procedures	54-ISI-460-009	Multi-Frequency Eddy Current Orthogonal Coil Array Probe Examination of Nozzles Welds and Regions	08/30/2025
71111.11Q	Miscellaneous	PLSEG-LOR-25E-01	Simulator Exercise Guide "Plant Heat-Up 1"	1
		PLSEG-LOR-25E-02	Training Simulator Guide "Turbine Synch"	1
		PLSEG-LOR-25E-03	Simulator Exercise Guide "Plant Heat-Up 2"	1
71111.24	Corrective Action Documents	25012427	VC-10 Required Manual Reset of Pressure Switch	09/17/2025
		25013662	E-54B Tube Plug Leakage	10/22/2025
	Miscellaneous		Eddy Current Report for Holtec International Palisades Nuclear Power Plant Unit 1 CCW E-54B	06/2025
			SGCC Key Milestones	09/23/2025
	Procedures	03-9096916	Chemical Cleaning Site Setup Procedure	004
		RO-28	Control Room Envelope Positive Pressure and Heater Output Verification	34
		RT-202	Control Room HVAC Heat Removal Capability	18
	Work Orders	00584765-01	RT-202B VC-10 CR HVAC "B" Train Heat Removal Capability	10/15/2025
		52954340	RO-28A - A-Train Control Room/TSC Ventilation	10/08/2025
		52959536	RO-28B - B Train Control Room/TSC Ventilation	10/08/2025
		582941696-34	E-54B; Vendor to Replace HX Tubes	10/30/2025
71124.04	Miscellaneous		Whole Body Counter Analyses	10/21/025

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
	Procedures	EN-RP-104	Personnel Contamination Events	11
		EN-RP-104, Attachment 9.11	Personnel Contamination Event Log	03/18/2025 through 10/24/2025
		EN-RP-104, Attachment 9.12	Personnel Contamination Event Record	10/21/2025
		EN-RP-104, Attachment 9.13	Contaminated Individual Release Authorization Log	05/19/2025 through 10/21/2025
		EN-RP-104, Attachment 9.9	Green IRA Briefing Form	10/21/2025
71124.06	Calibration Records		Gamm Spec Detector 4 Calibration	10/13/2025
	Miscellaneous	2_2025-10-29_005	Gamma Isotopic Results for Stack Iodine	10/29/2025
		4_2025-10-29_003	Gamma Isotopic for Stack Particulate	10/29/2025
71124.07	Corrective Action Documents	25013668	Meteorological Tower Calibration Performed on 10/19/2023	10/23/2025
	Miscellaneous	LIMS L111382	Environmental Sample Analysis Certificate	10/03/2025
		LIMS L111468	Environmental Sample Analysis Certificate	10/10/2025
	Procedures	EM-33	Meteorological Monitoring System	5
	Work Orders	50082222-01-01-0002	Met Tower Bi-Annual Instrument Calibration	01/04/2024
71124.08	Corrective Action Documents	25012715	Shipment 2025-RW-017 Exceeded Allowable Limits	09/25/2025
	Procedures	RP-412	Radioactive Shipping Procedure	1
	Radiation Surveys	2025-1801	Shipment 2025-RW-017 Truck Survey	09/23/2025
		2025-1810	Shipment 2025-RW-017 Return Surveys	09/25/2025
		2025-RW-017	Shipping Package	09/23/2025
71152	Calculations	097-670-9(Q)	Bechtel Calculation	06/06/1983
	Corrective Action Documents	25011687	Boric Acid Precipitate Identified on T-58 SIRWT Nozzles in Catacombs	11/18/2025

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
		25012889	Suspected Boric Acid Leakage into T-58 SIRW Tank Catacombs	09/09/2025
	Corrective Action Documents Resulting from Inspection	25012261	NRC Inspection of Catacombs - Minor Surface Cracking (Non-through-wall)	09/12/2025
		25012262	NRC Inspection of Catacombs- Minor Through-Wall Cracking	09/12/2025
	Miscellaneous		SIRW Tank - Structural Upgrade GWO 6861 Project Plan	01/08/1987
		NRC Report 50-255/85032	Inspection on December 3-5, 1985, and January 7-10, 23-24, 1986	02/05/1986
		PLP-SRTSP-RPS	Reactor Protective System	0
	Procedures	PAL-5382	Main Control Roof Cellular Slab	02/11/2025